Canada Bread Company, Limited

NOTICE OF ANNUAL MEETING OF SHAREHOLDERS

TAKE NOTICE that the Annual Meeting of the shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") will be held in the Upper Canada Room of the Royal York Hotel, 100 Front Street West, Toronto, Ontario on the 28th day of April, 1999 at 10:00 o'clock in the forenoon (Toronto time) for the following purposes:

(a) Receiving and considering the Annual Report containing the Report of the Board of Directors and consolidated financial statements of the Corporation comprised of Balance Sheets as at December 31, 1998 and December 27, 1997, Statements of Earnings and Retained Earnings and Changes in Financial Position for the years then ended, together with the auditors' report thereon;

(b) Electing directors;

(c) Appointing auditors and authorizing the directors to fix their remuneration;

(d) To transact such further and other business as may properly come before the Meeting or any adjournment or adjournments thereof.

The accompanying Management Information Circular dated February 28th, 1999 provides additional information concerning the matters to be dealt with at the Meeting.

As a substantial representation of the holders of common shares is required, if you are not able to be present personally, kindly date, sign and return the form of proxy accompanying this notice in the envelope provided for that purpose.

DATED at Toronto this 28th day of February, 1999.

BY ORDER OF THE BOARD



L.J. PALKO /s/
VICE-PRESIDENT, FINANCE AND SECRETARY-TREASURER

NOTES:

(1) Holders of common shares registered on the books of the Corporation at the close of business on March 22, 1999 are entitled to notice of the Meeting.

(2) The directors have fixed the close of business on March 22, 1999 as the record date for the determination of the shareholders of the Corporation entitled to notice of and to vote at the Meeting and only persons who are registered as holders of common shares on the books of the Corporation at the close of business on March 22, 1998 or persons who are transferees of common shares acquired after March 22, 1999 and who produce properly endorsed certificates for such common shares or otherwise establish ownership thereof and demand, not later than ten (10) days before the Meeting, that the Secretary of the Corporation include their names in the list of shareholders, are entitled to vote at the Meeting.

(3) The directors have fixed the hour of 4:30 in the afternoon on the last business day preceding the day of the Meeting or any adjournment thereof, before which time the instrument of proxy to be used at the Meeting must be deposited with the Secretary of the Corporation, c/o Montreal Trust Company of Canada, 151 Front Street West, 8th Floor, Toronto, Ontario, provided that a proxy may be delivered to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time for voting.

Canada Bread Company, Limited

MANAGEMENT INFORMATION CIRCULAR AS OF FEBRUARY 28, 1999

SOLICITATION OF PROXIES

THIS MANAGEMENT INFORMATION CIRCULAR IS FURNISHED IN CONNECTION WITH THE SOLICITATION BY MANAGEMENT OF CANADA BREAD COMPANY, LIMITED (THE "CORPORATION") OF PROXIES TO BE USED AT the Annual Meeting of shareholders of the Corporation (the "Meeting") to be held in the Upper Canada Room of the Royal York Hotel, 100 Front Street West, Toronto, Ontario, on Wednesday, the 28th day of April, 1999, at 10:00 A.M. for the purposes set forth in the attached notice of the Meeting. It is expected that the solicitation will be primarily by mail. Proxies may also be solicited personally by officers of the Corporation at nominal cost. The cost of solicitation by management will be borne by the Corporation.

APPOINTMENT AND REVOCATION OF PROXIES

The persons named in the enclosed form of proxy are directors of the Corporation. **A SHAREHOLDER DESIRING TO APPOINT SOME OTHER PERSON, WHO NEED NOT BE A SHAREHOLDER OF THE CORPORATION, TO REPRESENT THE SHAREHOLDER AT THE MEETING MAY DO SO** either by inserting such person's name in the blank space provided in the form of proxy or by completing another proper form of proxy and, in either case, delivering the completed proxy to the Secretary of the Corporation, c/o Montreal Trust Company of Canada, 151 Front Street West, 8th Floor, Toronto, Ontario, for receipt on or before 4:30 P.M. the last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used, or delivering it to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time of voting. A proxy should be executed by the shareholder or his attorney duly authorized in writing or, if the shareholder is a corporation, by an officer or attorney thereof duly authorized.

In addition to any other manner permitted by law, a proxy may be revoked before it is exercised by instrument in writing executed in the same manner as a proxy and deposited with the Secretary of the Corporation at the address shown above at any time up to and including the last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used or with the Chairman of the Meeting on the day of such Meeting or any adjournment thereof and upon either of such deposits the proxy is revoked.

VOTING OF PROXIES

The persons named in the enclosed form of proxy for use at the Meeting will vote or withhold from voting the common shares in the capital of the Corporation (the "Common Shares") in respect of which they are appointed in accordance with the direction of the holders of Common Shares appointing them on any ballot requested or required by law. **IN THE ABSENCE OF SUCH DIRECTION, THE SHARES REPRESENTED BY THE PROXIES HEREBY SOLICITED WILL, EXCEPT WHERE PROHIBITED BY LAW, BE VOTED FOR THE ELECTION OF DIRECTORS, AND THE APPOINTMENT OF AUDITORS AS STATED UNDER THESE HEADINGS IN THIS MANAGEMENT INFORMATION CIRCULAR**. The enclosed form of proxy confers discretionary authority upon the persons named therein with respect to amendments or variations of matters identified in the notice of the Meeting and with respect to other matters which may properly come before the Meeting. At the date hereof, the management of the Corporation knows of no such amendments, variations or other matters to come before the Meeting. **HOWEVER, IF ANY SUCH AMENDMENTS, VARIATIONS OR OTHER MATTERS WHICH ARE NOT NOW KNOWN TO THE MANAGEMENT SHOULD PROPERLY COME BEFORE SUCH MEETING, THE SHARES REPRESENTED BY THE PROXIES HEREBY SOLICITED WILL BE VOTED THEREON IN ACCORDANCE WITH THE BEST JUDGMENT OF THE PERSON OR PERSONS VOTING SUCH PROXIES**.

VOTING SECURITIES AND PRINCIPAL HOLDERS THEREOF

As at February 28, 1999 the Corporation had outstanding 21,416,807 Common Shares carrying the right to one vote per share. To the best of the knowledge of the directors and officers of the Corporation, the only person who beneficially owns directly or indirectly or exercises control or direction over more than ten percent (10%) of the votes attaching to the Common Shares is Maple Leaf Foods Inc. ("Maple Leaf Foods") which holds 14,633,315 common shares representing approximately 68% of the issued and outstanding Common Shares. The registered office of Maple Leaf Foods is Suite 1500, 30 St. Clair Avenue West, Toronto, Ontario M4V 3A2.

The directors have fixed the close of business on March 22, 1999 as the record date for the purposes of determining shareholders entitled to receive notice of and to vote at the Meeting. Accordingly, only persons who are holders of Common Shares of record at the close of business on March 22, 1999, or persons who are transferees of Common Shares acquired after March 22, 1999 and who produce properly endorsed certificates for such Common Shares or otherwise establish ownership thereof and demand, not later than ten (10) days before the Meeting, that the Secretary of the Corporation include their names in the list of shareholders, are entitled to vote at the Meeting.

ELECTION OF DIRECTORS

The Board of Directors presently consists of 10 directors, to be elected annually. **THE PERSONS NAMED IN THE ENCLOSED FORM OF PROXY (UNLESS OTHERWISE INSTRUCTED) INTEND TO VOTE FOR THE ELECTION OF THE NOMINEES WHOSE NAMES ARE SET FORTH BELOW**. Management does not contemplate that any of the nominees will be unable to serve as a director, but if that should occur for any reason prior to the Meeting, the persons named in the enclosed form of proxy reserve the right to vote for another nominee at their discretion. Each director elected will hold office until the next annual meeting or until his successor is elected or appointed (unless his office is earlier vacated) in accordance with the by-laws of the Corporation.

The following table and notes thereto state the names of all persons proposed to be nominated for election as directors, all other positions and offices with the Corporation now held by them, their principal occupations or employments, at the present and, to the extent required by law, during the preceding five years, the year in which they became directors of the Corporation, and the approximate number of Common Shares of the Corporation and Maple Leaf Foods beneficially owned, directly or indirectly, or controlled or directed by each of them as of February 28, 1999.

	Became Director	Common Shares Beneficially Owned, Controlled or Directed
JOHN L. BRAGG is President, Oxford Frozen Foods Limited	1995	Notes 1 and 2
ROGER M. DICKHOUT is President and Chief Executive Officer of the Corporation	1999	
SARAH A. EVERETT is Chairman of Tereve Holdings Ltd. (Bowring).	1995	Note 1
RICHARD A. LAN is Chairman of the Board of the Corporation and President, Chief Operating Officer, Maple Leaf Foods Bakery Group	1995	Note 2
CHARLES J. MAYER is Chairman of the Manitoba Crop Insurance Board	1997	Note 1
J. SCOTT McCAIN is President and Chief Operating Officer, Maple Leaf Foods Agri-Business Group	1995	Note 2
G. WALLACE F. McCAIN is Chairman of the Board, Maple Leaf Foods Inc.	1995	Note 2
MICHAEL H. McCAIN, is President and Chief Executive Officer, Maple Leaf Foods Inc.	1995	Note 2
THOMAS P. MUIR is Executive Vice-President and Chief Financial Officer, Maple Leaf Foods Inc.	1995	Note 2
JOHN F. PETCH is Vice-Chairman and a Senior Partner, Osler, Hoskin & Harcourt (Barristers and Solicitors)	1995	Notes 1 and 2

(1) As of February 28, 1999, the following directors beneficially owned, directly or indirectly, or exercised control or direction over the number of common shares of the Corporation indicated in brackets after their names: J.F. Petch (2,000), J.L. Bragg (5,400), S.A. Everett (1,200) and C.J. Mayer (1,100).

(2) As of February 28, 1999, the following directors beneficially owned, directly or indirectly, or exercised control or direction over the number of common shares of Maple Leaf Foods indicated in brackets after their names: M.H. McCain (40,000), J.F. Petch (2,000), J.L. Bragg (158,900), R.A. Lan (540) and T.P. Muir (100,000); Maple Leaf Foods holds approximately 68% of the shares of Canada Bread Company, Limited; McCain Capital Corporation is the owner of 31,509,146 voting common shares of Maple Leaf Foods, representing approximately 33.5% of all issued and outstanding shares of Maple Leaf Foods. The majority of the shares of McCain Capital Corporation are owned by members of the G. Wallace F. McCain family; R.A. Lan is also a shareholder of McCain Capital Corporation (reference is made to the heading "Voting Securities and Principal Holders Thereof").

(3) Members of the Audit Committee are Messrs. J.L. Bragg (Chairman), C.J. Mayer and Ms. S.A. Everett, who are appointed annually.

(4) Members of the Human Resources and Corporate Governance Committee are Messrs. J.F. Petch (Chairman), J.L. Bragg and Ms. S.A. Everett, who are appointed annually.

(5) The information as to shares beneficially owned, not being within the knowledge of the Corporation, has been furnished by the respective directors individually.

(6) Prior to joining the Corporation on January 4, 1999, Mr. Dickhout was a principal with McKinsey & Co. (a management consulting firm).

EXECUTIVE COMPENSATION

A. COMPENSATION OF DIRECTORS

Directors of the Corporation received remuneration for their services during the 1998 financial year in an aggregate amount of $106,000. Each outside director received a retainer of $16,000 per annum and fees of $750 per Board Meeting attended and $300 for participating in each Board teleconference meeting. Directors serving on Committees received a retainer of $1,000 per annum (the Chair of each Committee received $1,500); such Committee members also received $750 for each Committee meeting attended. The Human Resources and Corporate Governance Committee has recommended that a portion of the annual retainer be used to purchase common shares of the Company. Directors who are officers of the Corporation or a subsidiary company or Maple Leaf Foods do not receive fees. Directors are also reimbursed for travel and other out-of-pocket expenses incurred in attending Board or Committee meetings.

B. REPORT ON EXECUTIVE COMPENSATION

The Human Resources and Corporate Governance Committee ("Committee") is composed of three Directors all of whom are independent. Since December 1995, the Committee has consisted of John F. Petch (Chairman), Sarah A. Everett and John L. Bragg. It is the responsibility of the Committee to determine and approve, and to monitor and modify as required, the design and administration of compensation policies and practices generally of the Corporation and specifically, compensation policies and practices with respect to senior management (including executive officers) of the Corporation. The Committee meets at least four times per year and as required at the call of the Chairman of the Committee. The Committee reports to the Board on its proceedings.

Executive Compensation Strategy and Competitive Positioning

The objective of the Compensation Committee is to provide for a comprehensive compensation strategy that achieves the following results:

1. To attract and retain individuals of superior talent and skill by offering competitive salaries, taking into account the knowledge, skills and experience of individual executives, and the demands and responsibilities of their positions.
2. To motivate superior individual and group performance by including a component of incentive/variable pay compensation which rewards the achievement of specific indices of financial performance as determined by the Board.
3. To link individual and group performance with shareholder interests and retain top performing, high potential executives through the prudent use of equity-based compensation.
4. To encourage retention of key performers for the succession of management of the Corporation.

In arriving at its determination, the Committee has historically utilized formal compensation design and practice assessments and advice from independent sources as well as human resource management specialists within the Corporation. In addition, the Corporation uses the process of familiarizing itself with the compensation practices of Maple Leaf Foods. The compensation decisions made by the Committee seek to balance internal compensation equity for employees with external measurements for competitive practices within Canadian food and consumer products companies and autonomous Canadian and subsidiary companies of comparable size. In addition to internal and external analyses of compensation levels and programs, the Committee considers in the design of each segment of compensation, the long-term interest of the Corporation and its shareholders, and specifically, financial measures such as earnings, and return on net assets. To this end, the Corporation includes incentive/variable pay components within the design of the Corporation's total compensation program for employees. Recommendations on compensation matters, other than matters directly affecting him, are made to the Committee by the Chief Executive Officer.

The total compensation program for executive officers consists of three components: a base salary, an annual bonus, and a long-term incentive component. In establishing base salaries and salary ranges, the objective of the Committee is to establish levels which are competitive with the comparator groups mentioned above. With respect to the President and CEO, comparisons were made to similar positions in a grouping of autonomous and subsidiary companies of a size comparable to the Corporation, given the more particular responsibilities of these executives in a publicly-traded company. The comparator group used for other executives was a select grouping of Canadian food and consumer products companies. Individual levels, which are established annually, are determined in accordance with the performance of the individual over the preceding performance review period and superior individual performance will be recognized by the Committee.

In establishing annual bonus compensation, the Committee establishes threshold earnings and Return on Net Assets (RONA) of the Corporation to be achieved the following year. This ensures that shareholders receive an adequate level of return before executives are rewarded. Specific awards to each executive are then allocated to reflect both business and overall personal performance. Executives employed by the Corporation during only part of the financial year may be entitled to participate in incentive compensation programs in that year, but only on a pre-negotiated basis.

In determining the compensation of the CEO of the Corporation, substantially similar criteria as mentioned previously were used. Apart from a comparative analysis of the CEO's position with similar positions in autonomous and subsidiary companies of similar size, the Committee took into account the growth of the Corporation and its financial results during the period.

The Corporation, has in the past, utilized incentive stock options to provide executive and management linkage to long-term financial success of the Corporation. Options of the Corporation and Maple Leaf Foods have been granted to executives from time to time, based on recommendations by senior management and the Committee as a tool to motivate executives to enhance the value of the Corporation.

The Corporation provides perquisites and benefits, in kind, on a standardized basis for executives. The benefits are selected on the basis of cost effectiveness and are intended to be competitive with those provided by companies of comparable size.

The following tables provide a summary of compensation earned during each of the last three fiscal years by the Corporation's Chief Executive Officer and the four most highly compensated executive officers other than the Chief Executive Officer for the year ended. The Chief Executive Officer and other executive officers are referred to collectively as the "Named Executive Officers". In this report, an "executive" or "executive officer" means the Chairman of the Board, the President, the Chief Executive Officer, any President or Vice-President in charge of a principal business unit, division or function of the Corporation, and any other officers of the Corporation or any subsidiary performing a policy-making function in respect to the Corporation. Specific aspects of the compensation policies and practices of the Corporation are dealt with in further detail in the following tables and subsequent report of the Human Resources and Corporate Governance Committee.

SUMMARY COMPENSATION TABLE

		ANNUAL COMPENSATION				
Name and Principal Position	**Year**	**Salary (1) ($)**	**Bonus (4) ($)**	**Other Annual Compensation (2) ($)**	**All Other Compensation ($)**	**Long Term Awards (8)**
David H. Lees (3)	1998	320,000	—		736,000 (6)	
President & C.E.O.	1997	320,000	104,580			
	1996	311,000	127,833			
Donald A. Bradd (5)	1998	200,000	10,850			
Executive Vice-President,	1997	187,200	81,751			
Operations	1996	183,500	74,852		5,262 (5)	
Robert B. Dougans (3)(7)	1998	154,167	—			
Sr. Vice-President,	1997	185,000	61,170			
Business Development/Marketing	1996	180,500	76,178			
Carl T. Sparkes (5)	1998	159,875	7,994		36,364 (5)	
Sr. Vice-President,	1997	156,500	28,659		42,308 (5)	
Retail Sales	1996	149,250	58,127		47,008 (5)	
Craig Holloway (3)	1998	153,000	—			
Vice-President,	1997	22,000	3,506			
Retail Sales	1996	—	—			
Paul Nelson (7)	1998	147,000	6,125			
Sr. Vice-President,	1997	144,000	3,392			
Technical Services	1996	141,000	56,828			

(1) Salary figures represent actual monies paid by the Corporation and its subsidiaries during the year for services rendered to the Corporation and its subsidiaries.

(2) The value of perquisites and benefits for each Named Executive Officer is less than the lesser of $50,000 and 10% of total annual salary and bonus.

(3) Messrs. Lees, Dougans and Holloway left the employ of the Corporation on January 1, 1999, October 31, 1998 and January 29, 1999, respectively.

(4) Bonuses have been calculated for 1998 based on 1998 salaries and corporate performance, and were paid in 1999.

(5) Represents a declining relocation supplement to be paid until 1997 for Mr. Bradd and until 2000 for Mr. Sparkes.

(6) Represents payment relating to an employment contract.

(7) For the 1997 and 1998 financial years, Maple Leaf Foods Inc. granted share options in lieu of cash bonuses to its senior employees and those of its subsidiaries, including the Named Executive Officers. The employees had the choice to waive the right to the options at the rate of $5.14 of 1997 bonus and $3.84 of 1998 bonus for each share option. The number of share options granted is equal to the bonus entitlement earned, less the amount the executive elected to take in cash. The number of share options are determined and vest on March 15, 1998, for the 1997 bonus and March 15, 1999, for the 1998, bonus based on the achievement against the predetermined bonus objectives and the executive's choice. The exchange price was determined by Maple Leaf Foods Inc. with a small discount to the value of the options calculated using the Black-Scholes model. The options have a seven year term, are exercisable at $15.49 per share for the options granted in lieu of the 1997 bonus and $11.94 for the 1998 bonus, the weighted average trading price at the time of grant. Furthermore, the options do not have the normal early expiry provisions in the case of termination of employment other than by death. The number of share options that vested March 15th, 1998 for the Named Executive Officers: Mr. Dougans, 2,100 options, Mr. Nelson, 5,000 options and Mr. Sparkes, 5,576 options. The number of options vested on March 15, 1999, in respect of 1998 bonuses was 684 for Mr. Nelson. The bonus amount shown above reflects only the cash bonus paid to the named Executive Officers in 1998. No amount is included in respect of the cash bonus waived in favour of share options.

(8) No Long-Term Awards were issued by the Corporation in 1998, however, certain Long-Term Awards were issued by Maple Leaf Foods.

AGGREGATE STOCK OPTION EXERCISES DURING THE 1998 FINANCIAL YEAR AND 1998 FINANCIAL YEAR END OPTION VALUES

Name	Securities Acquired on Exercise (#)	Aggregate Value Realized ($)	Unexercised Options at December 31, 1998 (#)	Value of Unexercised in-the-Money Options at December 31, 1998 ($) All Exercisable
D.H. Lees	10,000	132,200	NIL	NIL
R.B. Dougans	6,000	75,360	NIL	NIL

MAPLE LEAF FOODS SHARE OPTIONS GRANTED IN 1998

Name	Securities Under Options Granted (#)	% of Total Options Granted to Employees in 1998	Exercise or Base Price ($/Security)	Market Value of Securities Underlying Options on the Date of Grant ($/Security)	Expiration Date
Options for the Purchase of Common Shares of Maple Leaf Foods:					
D.H. Lees	15,000	0.66	18.47	18.47	June 24, 2005
D.A. Bradd	10,000	0.44	18.47	18.47	June 24, 2005
R.B. Dougans	10,000	0.44	18.47	18.47	June 24, 2005
C.T. Sparkes	10,000	0.44	18.47	18.47	June 24, 2005
C. Holloway	10,000	0.44	18.47	18.47	June 24, 2005
P.A. Nelson	10,000	0.44	18.47	18.47	June 24, 2005
R.B. Dougans	2,100	0.09	15.49	15.49	January 15, 2005
C.T. Sparkes	5,576	0.24	15.49	15.49	January 15, 2005
P.A. Nelson	5,000	0.22	15.49	15.49	January 15, 2005

Note: The share options granted vest over five years based on the achievement of return on net asset performance objectives by Maple Leaf Foods Inc. for the fiscal years 1998 through 2002.

MAPLE LEAF FOODS SHARE OPTIONS HELD AT DECEMBER 31, 1998

Name	Securities Acquired on Exercise (#)	Aggregate Value Realized ($)	Unexercised Options at December 31, 1998 (#)		Value of Unexercised in-the-money Options at December 31, 1998 ($)	
			Exercisable (vested)	Unexercisable (not vested)	Exercisable (vested)	Unexercisable (not vested)
Options for the Purchase of Common Shares of Maple Leaf Foods:						
D.H. Lees	196,665	1,547,795	300	NIL	6	NIL
D.A. Bradd	45,900	459,343	833	22,200	5,288	41,846
R.B. Dougans	19,200	94,099	2,100	NIL	NIL	NIL
C.T. Sparkes	1,800	15,858	7,936	20,040	16,688	25,162
C. Holloway	NIL	NIL		10,000		
P.A. Nelson	NIL	NIL	21,658	22,200	142,469	41,846

Note: The closing price of common shares of Maple Leaf Foods on The Toronto Stock Exchange on the last trading day of the Corporation's financial year ended December 31, 1998, was $14.75.

PENSION/RETIREMENT PLANS

The Corporation, either directly or through designated subsidiaries, currently maintains a number of defined benefit and defined contribution pension plans for its employees.

Messrs. Lees, Bradd, Dougans, Sparkes and Nelson are members of the Canada Bread Salaried Pension Plan.

Specific information pertaining to the Pension Plan is detailed below.

Canada Bread Company, Limited Salaried and Supplemental Executive Pension Plan:

	Years of Service				
Final Average Earnings	**15**	**20**	**25**	**30**	**35**
$100,000	$ 30,000	$ 40,000	$ 50,000	$ 60,000	$ 70,000
150,000	45,000	60,000	75,000	90,000	105,000
200,000	60,000	80,000	100,000	120,000	140,000
250,000	75,000	100,000	125,000	150,000	175,000
300,000	90,000	120,000	150,000	180,000	210,000
400,000	120,000	160,000	200,000	240,000	280,000
500,000	150,000	200,000	250,000	300,000	350,000

The preceding chart shows the estimated maximum annual retirement income that would be payable if the executive retired at December 31, 1998 at Normal Retirement Age at equivalent levels of average annual earnings. Upon retirement, this plan provides lifetime retirement income benefits to certain officers as designated by the Board of Directors, including certain of the Named Executive Officers, of up to 70% of their average annual compensation (defined as base salary during the best 60 consecutive months of employment). Full benefits are payable at age 60. The benefits are payable for the life of the executive, with a guarantee that at least 60 monthly payments will be made. Designated executives are not required to contribute in order to receive benefits. Payments from the plan are in addition to any other entitlement which an employee may be entitled to with respect to the Canada Pension Plan. Under a reciprocal arrangement with Maple Leaf Foods, Dr. Lees has credited service of 9 years, and Mr. Bradd has credited service of 22 years.

Employment Contracts and Termination, Retirement, and Change-of-Control Arrangements

The Corporation had an individual contract of employment with Dr. Lees. The contract provided for compensation of two years salary and benefits in the event of termination of employment for reasons other than just cause and in the event of constructive termination following a change of control.

STATEMENT OF CORPORATE GOVERNANCE PRACTICES

This Statement of Corporate Governance Practices has been prepared by the Human Resources and Corporate Governance Committee ("Corporate Governance Committee") of the Board and has been approved by the Board of Directors.

Composition of the Board

The Board consists of ten members. The Corporate Governance Committee has evaluated the relationship between each director and the management of the Corporation and has concluded that more than a majority of directors are "unrelated" directors (i.e. a director who is free from any interest and any business or other relationship which could, or could reasonably be perceived to materially, interfere with the director's ability to act in the best interests of the Corporation, other than interests arising from shareholding). Approximately 30% of the directors qualify as directors who are not related to either the Corporation or to Maple Leaf Foods Inc., the significant shareholder. Accordingly, the Board believes that it is composed of a number of directors which substantially reflects the proportionate investment in the Corporation by shareholders other than the significant shareholder.

Mandate of the Board of Directors

The Board of Directors is responsible for the supervision of the management of the business and affairs of the Corporation acting with a view to the best interests of the Corporation. Generally, all material matters relating to the business of the Corporation require the prior approval of the Board. The Board's key responsibilities include the approval of corporate objectives and the oversight of processes for:

- strategic planning;
- the identification and management, to the extent possible, of the principal business risks;
- internal control and management information systems;
- succession planning; and
- maintaining effective communications with shareholders, stakeholders, and the public.

Committees of the Board

The Board of Directors discharges its responsibilities directly and through its committees, namely the Audit Committee and the Human Resources and Corporate Governance Committee. Only outside directors (i.e. directors who are not officers or employees of the Corporation or of any of its affiliates) are members of the committees of the Board and a majority of members of each of these committees are "unrelated" directors.

Human Resources and Corporate Governance Committee

The Human Resources and Corporate Governance Committee is responsible for developing and monitoring the Corporation's systems of compensation and corporate governance including:

- reviewing and developing the Corporation's compensation policies and processes to endeavour to ensure that employees of the Corporation will be fairly and competitively compensated;
- annually evaluate the performance of the Chief Executive Officer against predetermined goals and criteria and reviewing and approving the amount of compensation to be paid to the Chief Executive Officer;
- annually considering the Chief Executive Officer's evaluation of the performance of the other executive officers of the Corporation and recommendations with respect to the amount of compensation to be paid to such executive officers;
- assisting the Board of Directors in ensuring that appropriate human resource development, succession planning and performance evaluation programmes are in place and are operating effectively;
- periodically reviewing the size, composition and performance of the Board;
- periodically reviewing the committee structure and all committee mandates;
- annually proposing the nominee for the Chair and members of each Committee; and
- satisfying itself that structures are in place to ensure effective communication between the Corporation, its stakeholders and the public.

Audit Committee

The Audit Committee is primarily responsible for overseeing the integrity of the Corporation's internal controls including:

- reviewing the Corporation's financial statements prior to their approval by the Board;
- establishing the objectives and scope of audits with the auditors of the Corporation;
- reviewing the findings of audits and assessing management's response thereto; and
- approving the fees of the external auditors.

Relationship Between the Board and Management

The Board has a separate person serving as Chairman of the Board and Chief Executive Officer of the Corporation. In addition, the Board of Directors believes that structures are in place which assist the Board in acting independently of management.

The annual schedule of meetings for the Board and its Committees is prepared by the Chairman of the Board, after consultation with the Committee chairs, the CEO and other directors. The Chairman of the Board develops the agendas for Board meetings after consultation with the CEO and management; background information and reports pertaining to meeting agenda items are circulated to the directors in advance whenever practicable.

Directors have open access to senior management of the Corporation as appropriate. The Board also encourages individual directors to provide specific advice and counsel to management regarding matters in respect of which they have special knowledge and experience.

Board's Expectations of Management

Management is responsible for the development of operating company and overall corporate strategies on an ongoing basis. The Board expects management to keep strategic plans current by continually reviewing important issues and evaluating the competitiveness and positioning of the Corporation's business. The role of the Board is to ensure that a strategic planning process is in place, to review and approve strategies developed by management, and to monitor management's success in implementing the strategies.

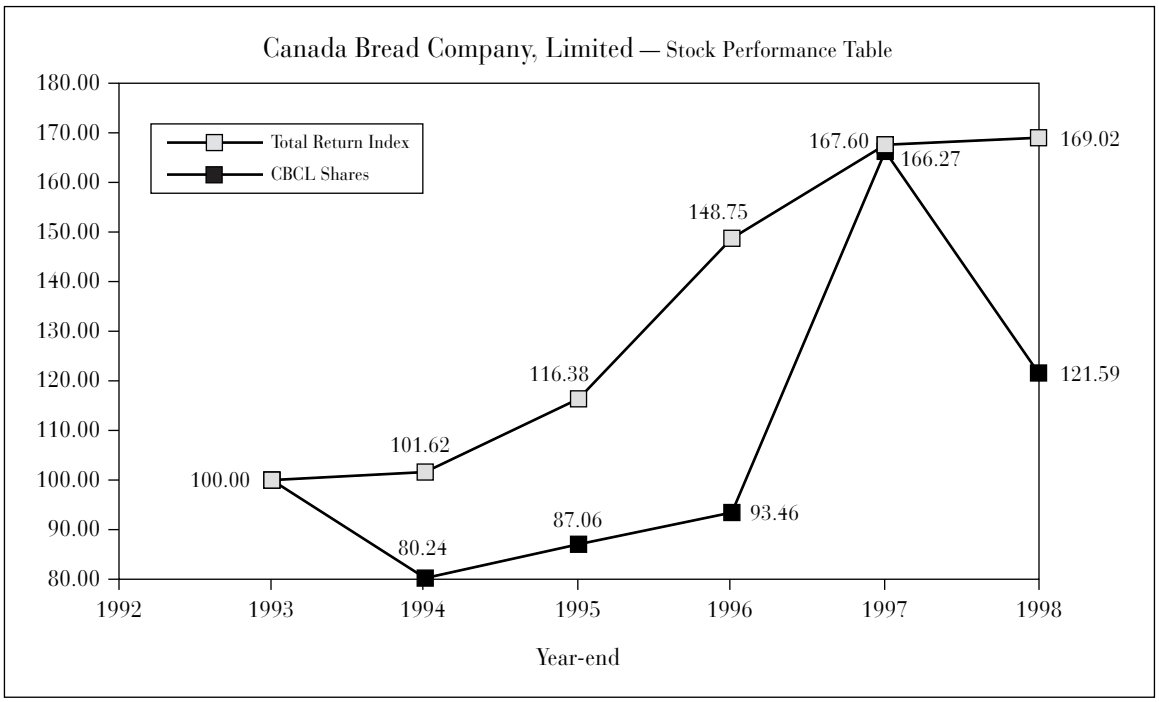
Shareholder Communications

Management of the Corporation maintains communications with shareholders, stakeholders and the public on an ongoing basis under the supervision of the Board. Management also represents the Corporation in its communications with the investment community, the media, customers, suppliers, employees, governments and the general public. The Board approves the content of all major communications to shareholders and the investing public, including annual and interim financial statements, management proxy circulars, annual information forms and prospectuses. The Corporation attempts to consider and respond to all shareholder inquiries. Management provides from time to time, as appropriate, a report to the Board of significant comments which the Corporation receives from shareholders.

Stock Performance Graph

The following chart compares the total cumulative shareholder return for $100 invested in Common Shares of the Corporation on December 31, 1993 with the cumulative total return of the TSE 300 Stock Index for the five most recently completed financial years.

Note: Dividends declared on Common Shares of the Corporation are assumed to be reinvested at the share price on the payment date. The TSE 300 Index is the total index return, including dividends reinvested.



DIRECTORS' AND OFFICERS' LIABILITY INSURANCE

Directors' and officers' liability insurance has been arranged through the Corporation's controlling shareholder, Maple Leaf Foods, at an annual premium cost of $18,000 which was not allocated as between officers and directors. The insurance limit under the policy is $35,000,000 for each loss and each policy year with the Corporation subject to a $250,000 deductible provision. The directors and officers are not liable for any payment under a deductibility clause.

INCENTIVE STOCK OPTION PLAN

On January 30, 1985, the directors established and approved an incentive stock option plan for the Corporation (the "Plan"). The Plan, as amended, permits the directors to grant options to full-time employees of the Corporation or its affiliates to purchase up to an aggregate of 940,000 of the Corporation's unissued Common Shares. The Plan provides that the option price is based on the average of the last 10 days' closing price of the Common Shares on The Toronto Stock Exchange. Options under the Plan expire five years from the date of grant or 270 days following the death of any employee or 90 days following the termination of employment of the optionee; or 270 days following the retirement of the optionee under a retirement plan of the Corporation or any affiliated company or such longer period as the directors, in their

discretion, determine. Effective February 8, 1994, the Plan was amended to provide that new options will have a term of ten years rather than five years and may be subject to staged vesting over a period of up to five years.

Options to be issued under the Plan will be exercisable only upon full payment, in cash, of the option price. Any options issued under the Plan are embodied in written instruments containing provisions, among others, relating to anti-dilution.

The Corporation's prior Management Information Circulars set forth details of the issuances of options. To date, 606,500 options have been exercised with an aggregate net value of $4,974,790. All options granted have been exercised or cancelled.

INTERESTS OF INSIDERS

Reference should be made to the heading "Voting Securities and Principal Holders Thereof" for details of Maple Leaf Foods' shareholdings in the Corporation. Messrs. R.A. Lan, G.W.F. McCain, J.S. McCain, M.H. McCain, and T.P. Muir are directors of the Corporation and are also officers and/or directors of Maple Leaf Foods (see "Election of Directors").

In August 1995, the Company entered into a Management and Affiliation Agreement and in October 1995, the Company entered into a Management Services Agreement effective January 1, 1996, with Maple Leaf Foods whereby the Company benefits from certain services provided by Maple Leaf Foods. This agreement was reviewed and approved by a committee composed of independent members of the Board of Directors. The cost of this service in 1998 was $3,378,000.

On January 2, 1997, the Company sold the shares of Brooklyn Bagel Boys, Inc. and its 80% interest in CFL/MLF Financing Company, L.L.C. to Maple Leaf Foods Inc. This transaction was reviewed and approved by a committee composed of independent members of the Board of Directors.

APPOINTMENT OF AUDITORS

UNLESS OTHERWISE DIRECTED, PROXIES IN THE ENCLOSED FORM WILL BE VOTED TO APPOINT KPMG, Chartered Accountants, Toronto, as auditors of the Corporation to hold office until the next annual meeting of shareholders and to authorize the directors to fix their remuneration.

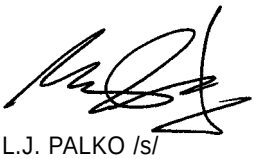
GENERAL

Except where specifically stated, information contained herein, is given as of February 28, 1999.

APPROVAL

The contents and the sending of this Management Information Circular have been approved by the directors of the Corporation.

DATED at Toronto, this 28th day of February, 1999.



L.J. PALKO /s/
Vice-President, Finance and Secretary-Treasurer